

ABSENCE OF INTERMEDIARIES IS A KEY FACTOR THAT ALLOWS RETAILERS TO PASS ADDITIONAL BENEFITS TO CONSUMERS IN THE FORM OF DISCOUNTS, BOOSTING SALES OF PRIVATE LABELS

58 |

supply chain is controlled in-house, and we don't have to deal with external uncertainties of the market. Private labels also give us complete control over procurement and quality of the products, and help generate greater return on investment." KPMG's Razdan points out that retailers require almost no investment in channels to reach consumers of private labels. That's because they already have an established network across the country, which they can leverage to tap new customer segments. "Retailers can control their displays by restricting their stock best suited for their customers and are able to offer an assortment of products that are customised to their shoppers' needs at very competitive prices," he says.

According to bigbasket's Kumar, expansion into newer categories has helped immensely and the share of private labels has grown by three percentage points in its revenue since 2019. The key to its success with private labels, he says, is in identifying and filling the gaps that conventional brands fail to cater. "For a private label, it is imperative to identify these gaps and fill them with clearly distinct and top-quality products. Customers prefer private labels primarily on the faith that the products will be customised and of better quality. When the

quality is assured, and customer satisfaction is achieved, the private labels tend to gain pricing leverage and offer a better rate of success, even in a high competition domain like grocery retail," he says. Driven by its relentless search for gaps in the offerings from established brands, bigbasket is planning to expand its market coverage and network rapidly. "As and when new gap areas are identified, we will launch new private labels or products to cover those gaps accordingly," Kumar told *Business Today*.

There are other things, too, that make private labels a success, apart from better value for money. According to Goenka of Spencer's, attractive positioning and packaging of articles, affordable pricing vis-à-vis national brands, and ensuring consistent availability backed with consumer promotions across regions are crucial. Further, "strategic visibility across shelves plays a critical role in maximising consumers' basket contribution".

"Every retailer is trying to grow private labels at a faster pace vis-à-vis national brands both in B2C, e-commerce and even in the e-B2B space. Private brands find a lot of success in categories where the brand association and engagement is lower, and there is a need gap which can be fulfilled with brand substitutability. For example, pushing own brands (private labels) in the cleaning and home hygiene space, wherein the brand engagement is relatively low, becomes easier than in the personal and skincare categories wherein brand engagement and brand sensitivity are higher," says Mediratta.

While private labels are growing much faster than regular brands and the overall sales of e-commerce platforms, their success is still limited to the mass market segments. According to Bijoor, however, the retailers are soon going to target the premium price points. "Currently, private labels are primarily pushed through discounted pricing but their real test would be in the premium segment. In future, there would be expansion of private labels in the premium categories," he says.

Goenka of Spencer's is unfazed, saying there's room for much more. According to him, while in other major economies, private label brands enjoy more than 16 per cent market share (in 2019), in India it's much lower; as per KPMG-RAI it's about 3.5 per cent. This indicates potential for growth. "Private labels across modern trade are on growth mode, with evolved hygiene and staples categories fuelling the growth. Choosing markets wisely is critical for efficient growth. However, the aspect of right pricing should be considered in parallel. Right pricing becomes critical, as 76 per cent of shoppers claim to compare the prices of private labels with leading brands," says Goenka.

It's time for the regular brands now to wake up to the challenge from their own retail partners. **BT**

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